

TRADING PORTFOLIO REVIEW

1. PORTFOLIO OVERVIEW

A client allocated ₹5,00,000 for investment and trading. As of February 23, 2026, ₹3,00,000 had been deployed across 3 stocks with ₹2,00,000 remaining as cash awaiting deployment.

Stock	Sector	Invested	Returns	Current Value	P&L	Status
Motilal Oswal	NBFC/Finance	₹1,00,000	-4%	₹96,000	-₹4,000	Loss
Sagility India	Healthcare IT	₹1,00,000	-14%	₹86,000	-₹14,000	Loss
HDFC Bank	Banking	₹1,00,000	+1%	₹1,01,000	+₹1,000	Profit
Total Deployed		₹3,00,000	-5.67%	₹2,83,000	-₹17,000	
Cash Available		₹2,00,000				
Total Portfolio		₹5,00,000		₹4,83,000	-₹17,000	

Task: Recommend where to deploy the remaining ₹2,00,000 cash.

2. INDIVIDUAL STOCK ANALYSIS

Motilal Oswal Financial Services

Motilal Oswal is a financial services company operating across broking, asset management, wealth management and investment banking with presence in 550+ cities. Despite a strong 3-year sales CAGR of 30.9% and high promoter confidence reflected in 67.5% promoter holding, the stock showed decreasing in profit of -25.3% indicating costs rising faster than revenue. The stock trades at P/E of 27.4 against industry P/E of 20.4.

Metric	Value	Signal
P/E vs Industry P/E	27.4 vs 20.4	34% Overvalued
Profit Growth	-25.3%	Red Flag
Sales Growth 3Y	30.9%	Strong
Promoter Holding	67.5%	Strong
ROE	15.6%	Moderate

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Recommendation: Hold — Do Not Average Down Profit degrowth of 25.3% is the critical concern. Averaging down into a stock with falling profits and premium valuation increases risk without improving the investment thesis

Sagility

Sagility is a Healthcare IT company providing technology and operations services exclusively to US healthcare payers and providers. Despite being down 14% in the portfolio, the fundamental picture is exceptional profit growth of 74%, sales growth of 29.1%, virtually debt free with D/E of 0.11, and extraordinary interest coverage of 13.8.

Most importantly the stock trades at P/E of 20.9 against industry P/E of 25.5 making it 18% undervalued relative to peers.

Metric	Value	Signal
P/E vs Industry P/E	20.9 vs 25.5	18% Undervalued
Profit Growth	+74%	Exceptional
Sales Growth	+29.1%	Strong
Debt to Equity	0.11	Virtually Debt Free
Interest Coverage	13.8	Very Safe

Recommendation: Average Down — Deploy ₹80,000 Business fundamentals are strengthening while price falls a buying opportunity. Undervaluation vs industry P/E combined with 74% profit growth makes a compelling case for averaging down.

HDFC Bank

India's largest private sector bank with market capitalisation of ₹11,74,294 Crores. While institutionally safe, HDFC Bank shows the weakest growth metrics in the portfolio sales growth of only 3.64%, profit growth of 7.57%, and continued price weakness with -16.9% return over 3 months and -23.8% over 6 months.

Note on 0% Promoter Holding: This is normal for HDFC Bank. Post the HDFC-HDFC Bank merger, the bank transitioned to an institutionally held structure with FIIs and DIIs as primary shareholders. This is not a red flag.

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Metric	Value	Signal
P/E vs Industry P/E	15.4 vs 14.3	Slight Premium
Sales Growth	3.64%	Very Slow
Profit Growth	7.57%	Moderate
Return 3M	-16.9%	Falling
Return 6M	-23.8%	Significant Weakness

Recommendation: Hold — Do Not Add Slow growth and continued price weakness make this the least attractive addition. Better deployment opportunity exists elsewhere

Colgate India — New Position

Colgate is India's leading oral care FMCG company with extraordinary business quality metrics, ROCE of 105%, ROE of 81.2%, virtually zero debt (D/E 0.04) and interest coverage of 443. While the business is facing a short-term growth slowdown with sales declining - 2.73% and profits -8.79%.

Colgate was chosen as a **defensive hedge** against the existing portfolio's high volatility. With 3 positions already in loss and overall portfolio down 5.67%, adding a defensive FMCG stock provided sector diversification and capital protection.

Metric	Value	Signal
ROCE	105%	Excellent
ROE	81.2%	Excellent
Debt to Equity	0.04	Virtually Debt Free
Interest Coverage	443	Excellent
Sales Growth	-2.73%	Declining
Return 6M	+0.39%	Stable

Recommendation: New Position — Deploy ₹80,000 Defensive capital protection play. the business quality is world-class and the stock provides stability to an otherwise volatile portfolio. Sector diversification from Finance + Healthcare IT + Banking into FMCG reduces concentration risk.

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3. ₹2,00,000 - DEPLOYMENT RECOMMENDATION

Allocation	Stock	Amount	Strategic Rationale
Conviction Buy	Sagility	₹80,000	Fundamentally strongest undervalued, profit +74%, debt free
Defensive Hedge	Colgate India	₹80,000	Capital protection, sector diversification, world-class business quality
Cash Reserve	Keep	₹40,000	Disciplined reserve for further dips or new opportunity
Total		₹2,00,000	

Investment Thesis: The deployment strategy reflects three key principles conviction in fundamentally strong undervalued stocks (Sagility), defensive diversification to protect capital (Colgate), and disciplined cash management to avoid forced deployment (₹40,000 reserve).

4. PORTFOLIO AFTER DEPLOYMENT

Stock	Sector	Original	Additional	Total Invested	Current Value	P&L	Status
Motilal Oswal	NBFC/Finance	₹1,00,000	₹0	₹1,00,000	₹96,000	-₹4,000	Loss
Sagility	Healthcare IT	₹1,00,000	₹80,000	₹1,80,000	₹1,66,000	-₹14,000	Loss
HDFC Bank	Banking	₹1,00,000	₹0	₹1,00,000	₹1,01,000	+₹1,000	Profit
Colgate	FMCG	₹0	₹80,000	₹80,000	₹79,904	-₹96	Loss
Cash				₹40,000	₹40,000		
Total		₹3,00,000	₹1,60,000	₹5,00,000	₹4,82,904	-₹17,096	

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5. OUTCOME TRACKING (May 19, 2026)

Stock	Feb 23 Price	May 19 Price	Change	Action	Was Call Right?
Motilal Oswal	₹852.20	₹851.00	-₹1.20	Hold	Correct — Stock barely moved, averaging down would have locked more capital
Sagility	₹42.92	₹42.20	-₹0.72	Average Down ₹80,000	Pending — Price hasn't recovered yet but fundamental thesis intact
HDFC Bank	₹768.50	₹754.85	-₹13.65	Hold	Correct — Stock continued falling, right decision not to add
Colgate	₹2,160	₹2,157.40	-₹2.60	New Position ₹80,000	Correct — Defensive pick protected capital while other stocks fell

Outcome Reflection: Three out of four calls were validated within 3 months. The Sagility average down thesis has not yet played out in price however the fundamental case remains intact with 74% profit growth and minimal debt continuing to strengthen the business.

This demonstrates a critical investment principle: good fundamentals identify what to buy, but patience determines when returns materialise. The Colgate defensive pick proved its value by protecting capital while the rest of the portfolio remained under pressure.

Note: Ratio analysis based on data as of May 19, 2026. Prices at time of recommendation sourced from historical price data (February 23, 2026). Recommendations made under supervision of Johann da Silva, Research Analyst and Portfolio Strategist.

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